

Organization

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Course agenda

Date	Main theme
13.04.2026	Definitional basics of organization
20.04.2026	Formal organizational design
27.04.2026	Organization and environment
04.05.2026	Strategic organization design
11.05.2026	Technology and organization
18.05.2026	Information technology, AI, and organization
01.06.2026	Informal organization

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08.06.2026	Informal organization
15.06.2026	Dynamic perspectives on organizing
22.06.2026	Guest lecture, Felix Ehrenfels, mmmake
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13.07.2026	Trends in organization design
17.07.2026	Review and wrap-up

What you should be able to do after this session

Learning goals

- Distinguish between task environment and global environment.
- Understand task interdependence
- Understand uncertainty and dynamics as key drivers of the environment.
- Understand contingency theory, resource dependence theory, and population ecology.
- Apply the concepts to organizational problems and design choices.



Image source: ChatGPT

Today's session architecture



Part I: Classifying the environment

- Boundaries as a problem
- Task environment and global environment
- Interdependence among organizations
- Dynamics and uncertainty

Part II: Explaining interaction

- Contingency theory
- Resource dependence theory
- Population ecology
- Managing the environment

→ **We first classify environments, then explain organization environment interaction.**

Opening question

Boundaries

- Think individually for 2 minutes: Where does an organization end?
- Then discuss with a neighbor:
 - What are practical examples of an organizational boundary?
 - How do you know it is a boundary?

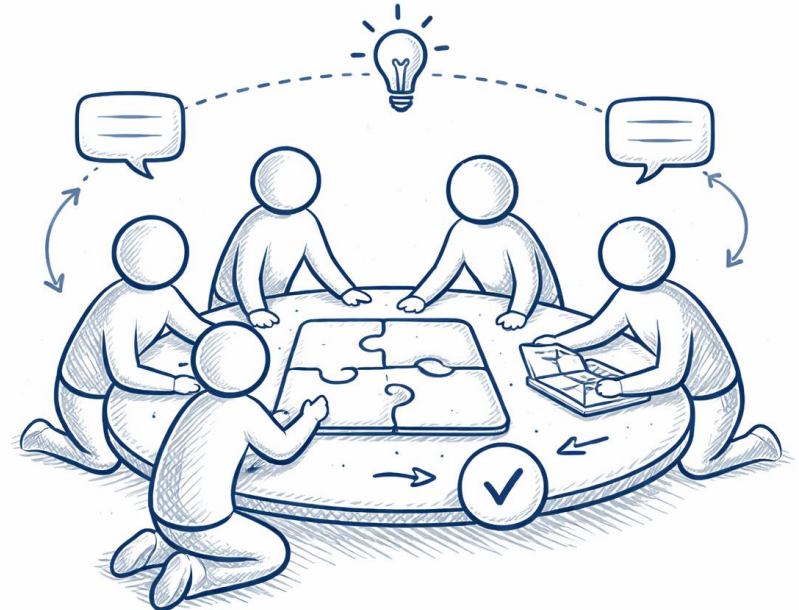
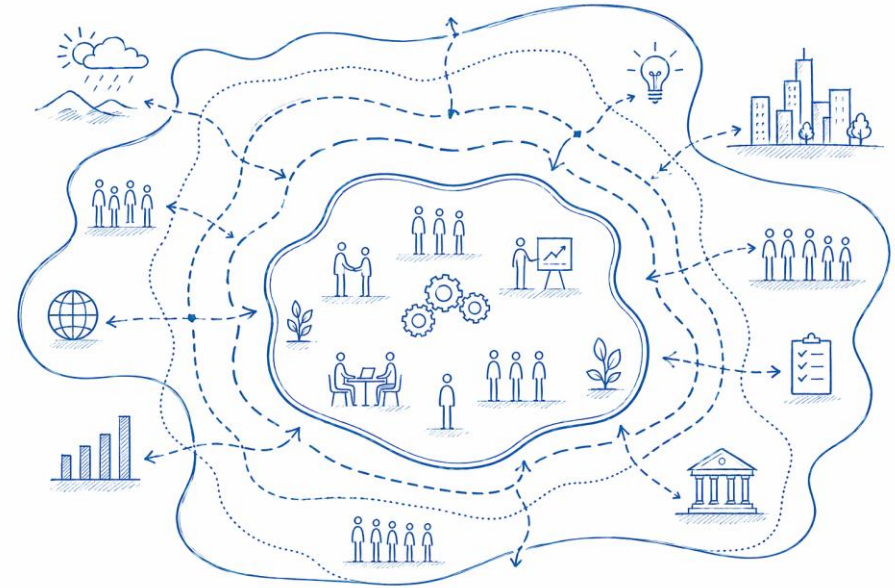


Image source: ChatGPT

Boundaries as a problem

- Speaking of an organization's environment already assumes a distinction between organization and environment.
- This boundary is not naturally given.
- Organizational boundaries are socially produced and maintained through selection.
- They are also multiple and shifting.



→ **The environment can only be analyzed after a boundary has been drawn.**

Boundary difficulties

Why organizational boundaries are hard to define

No natural boundaries:

Organizations do not have visible physical limits.

Membership is insufficient:

Employment, ownership, or legal status do not settle belonging.

Functional definitions become too broad:

customers, suppliers, shareholders, and creditors may all contribute.

Boundaries are shifting over time:

Organizations expand and contract boundaries, for instance, through acquisition.

→ **Boundaries are analytical distinctions, not a priori entities.**

Schreyögg, G., & Geiger, D. (2024). Organisation: Grundlagen moderner Organisationsgestaltung (7th ed.). Springer.

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Exercise

Defining environmental forces

- Work with a neighbor.
- You are founding your startup “SHOEDORA” in Germany that produces high-end, sustainable sport shoes.
- Identify potential environmental forces that may influence the business.
- List at least three environmental forces.



Image source: ChatGPT

Task environment versus global environment



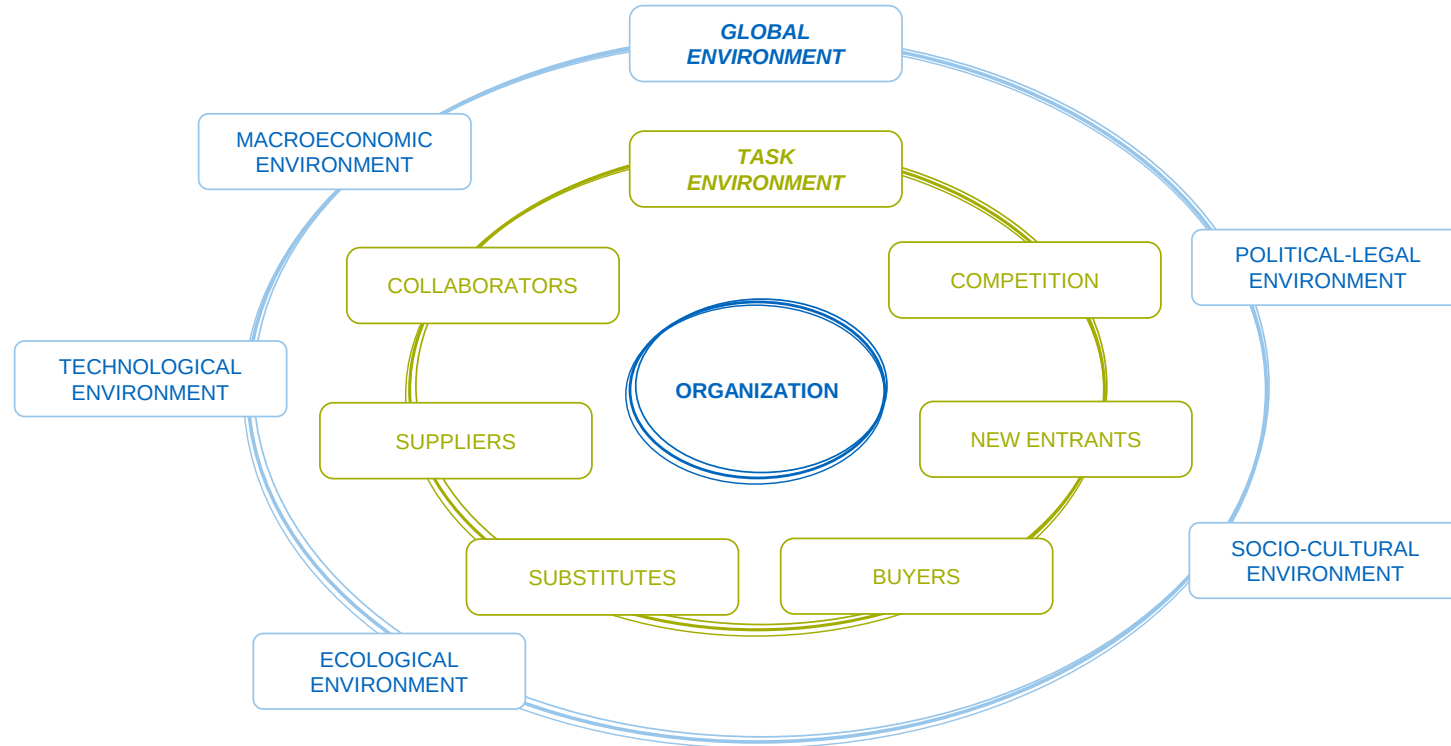
Task environment

- Actors and forces directly linked to organizational task accomplishment.
- Close to the organization's ongoing work.

Global environment

- Wider conditions that shape organizational action.

Task environment versus global environment



Technological environment

- Major developments in information and communication technology

Political and legal environment

- Influence in the form of codified regulations
- Examples: tax law, legal forms of organizations, labor law

Socio-cultural environment

- The structure and evolution of demographic characteristics and cultural values (e.g., valuing sustainable products)

Ecological environment

- Natural resources serve as input factors for the value creation process
- Organizational actions impact the environment

Macroeconomic environment

- Overall and global economic indicators and their development
- For example exchange rates, public debt, or economic growth

Schreyögg, G., & Geiger, D. (2024). Organisation: Grundlagen moderner Organisationsgestaltung (7th ed.). Springer.

Exercise

Defining environmental forces

- Return to your sport-shoe startup.
- Did you consider forces in the task or global environment?
- Which ones would you add now?



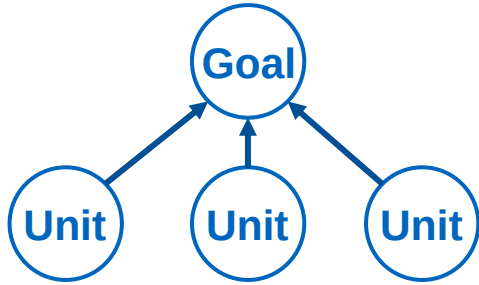
Image source: ChatGPT

Interdependence

Organizations rarely act alone

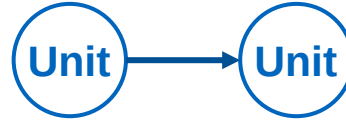
- Organizations do not necessarily produce goods or services on their own.
- They depend on other organizations for resources, inputs, knowledge, and distribution
- The core concept is interdependence among organizations.

Forms of task interdependence



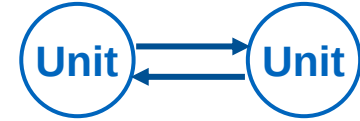
**Pooled
Interdependence**

Units contribute separately to a larger whole, or use the same resources.



**Sequential
Interdependence**

One unit's output becomes another's input.



**Reciprocal
Interdependence**

Units mutually adjust to each other through ongoing exchange.

Exercise

BP Case

- Form groups of 4 to 5.
- Using the BP case material, identify how organizations depended on one another.
- Produce a list of relevant organizations, the main dependencies among them (and missing relations)
- If useful, apply the concepts we just learned.
- Create one slide with your key insights.

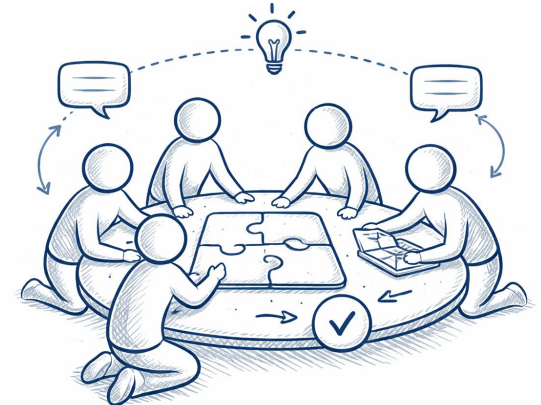
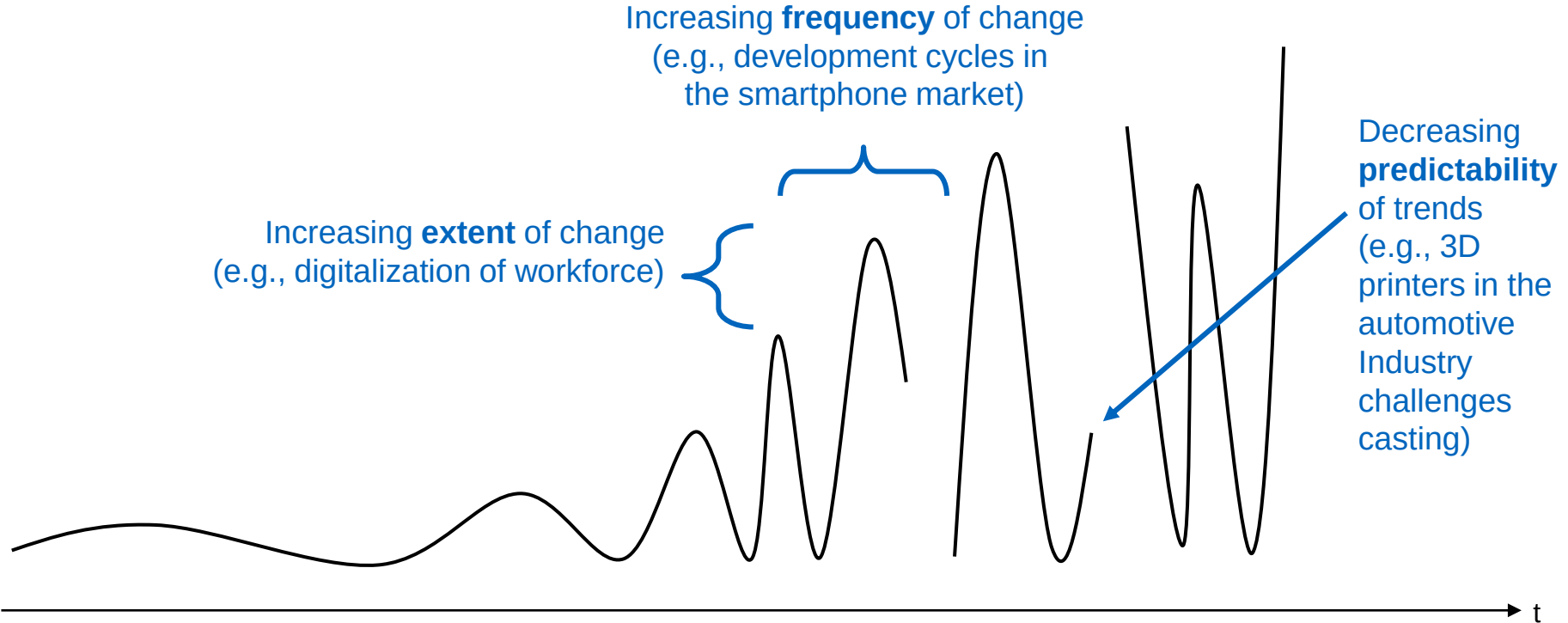


Image source: ChatGPT

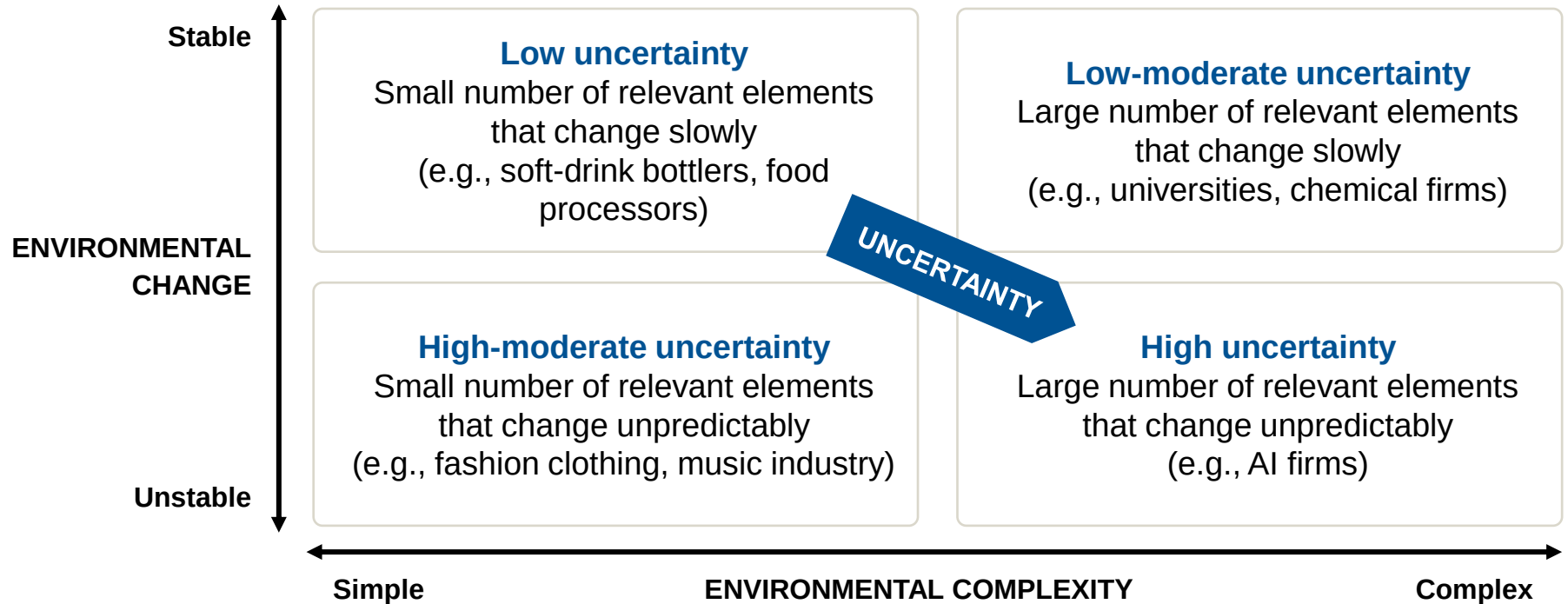
Environmental dynamics

Extent, frequency, and predictability of change



Stieglitz, N., Knudsen, T., & Becker, M. C. (2016). Adaptation and inertia in dynamic environments. *Strategic Management Journal*, 37(9), 1854-1864.

Environmental uncertainty



Exercise

Uncertainty in the startup environment

- Return to the sustainable sport-shoe startup.
- Based on the environmental forces you identified earlier, place the startup environment in one quadrant of the uncertainty matrix.
- Output: one quadrant choice and justification.



Image source: ChatGPT

From classification to explanation



Contingency theory



Resource dependence theory



Population ecology theory

Contingency theory

Fit between structure and environment

- Organizational structures need to fit the environment.
- There is no one best organizational structures independent of context.
- The appropriate structures depends on environmental conditions.
- Question: Which organizational structures fits which type of environment?

Mechanistic versus organic structures

According to Burns and Stalker

Criterion	Mechanistic	Organic
Task definition	Enduring and specialized	Flexible and broad
Coordination and control	Top-down	Common culture and mutual adaptation
Communication	Vertical	Vertical and horizontal
Commitment and loyalty	To management	To purpose and goals
Environment	Stable, low uncertainty	Dynamic, strong uncertainty

W. L. Gore

Prime example of an organic structure

- The firm processes plastics
- More than 10,000 employees.
- Only three hierarchy levels: CEO, a few department heads, and the rest of the organization.
- Decisions are made in self-organized teams of 8 to 12 members.
- Examples include hiring, compensation, and project selection.
- The structure illustrates limited hierarchy and strong horizontal coordination.



Resource dependence theory

According to Pfeffer and Salancik

- Organizations need external partners to secure resources.
- The environment consists of identifiable actors, for example suppliers, buyers, and banks.
- Exchange relationships are unproblematic as long as resource flows are stable and secured.
- The problem begins when resource exchange creates dependence.

Resource dependence theory

Key factors influencing dependence

Need

Dependence increases with the extent to which an organization needs resources held by another organization.

Scarcity

Dependence increases when the other organization can restrict access to required resources.

Substitutes

Dependence decreases with the number of alternative providers or available substitutes.

Population ecology

Survival and failure at population level

- Population ecology explains organizational survival and failure at the population level.
- Organizations compete within an ecological niche.
- The environment favors organizations that best fit its demands.
- The perspective shifts from individual managerial choice to population-level selection.

Population ecology

Variation, selection, retention

Variation:

new organizational forms emerge through entrepreneurship and innovation.



Selection:

the environment supports organizations that fit the demands of their niche.



Retention:

successful forms continue to receive resources and are reproduced over time.

Competition operates as organizational natural selection.

Quick food delivery

Population ecology in action

- During the COVID-19 boom, 10-minute grocery delivery became an attractive ecological niche.
- Many firms competed for customers, workers, urban delivery infrastructure, and investor capital.
- After the pandemic, the niche changed.
- Demand normalized, funding became tighter, and firms with weak unit economics came under pressure.
- Survival depends on whether an organizational form fits changing niche conditions.



Image source: pexels, Omar Ramadan

Exercise

Explaining environment interaction

- Return to the sustainable sport-shoe startup.
- The startup must decide how to organize and manage its relation to the environment.
- Form groups of 4 to 5. Each group receives one lens: contingency theory, resource dependence theory, or population ecology.
- Use your assigned lens to explain the problem and derive one organizational implication.



Image source: ChatGPT

Managing the environment



Organizational responses

Boundary spanning:

roles, departments, and alliances, for example key account management.

Public relations management:

managing relations with relevant publics.

Differentiation:

creating relatively autonomous units.

Sensing the environment:

planning, forecasting, and bottom-up processes.

Walmart

Public relations and the political-legal environment

- Initial problem: international expansion was constrained by political decisions, including limits on foreign retailers in China.
- Strategic shift: Walmart moved from avoiding politics to actively engaging in it.
- Organizational implication: lobbying became institutionalized and integrated into top management roles.
- Core insight: firms can actively reshape parts of their external environment, especially regulatory and political conditions.



Daft, R. L., Murphy, J., & Willmott, H. (2022). Organization theory and design: An international perspective (4th ed.). Cengage; Image source: pexels, Erik Mclean

Takeaways from today

Boundaries are necessary, but not naturally given.

Environments can be classified into task and global environments.

Organizations are interdependent with other organizations.

Environmental dynamics and uncertainty as key features of the environment.

Different theories explain organization-environment interaction (contingency, resource dependence, population ecology).

Management needs to strategically shape organizations to ensure fit with the environment.

Feedback

Please fill out the survey



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